

not feel extreme urgency in selling your house, but the associated taxes are eating into your monthly cash flow, and you want to unload the property as soon as possible. Your real estate agent, whom you have known for many years, prices your home at \$900,000—you are shocked. You paid \$250,000 for the home only 15 years ago, and the \$900,000 figure is almost too thrilling to believe. You place the house on the market and wait a few months, but you don't receive any nibbles. One day, your real estate agent calls, suggesting that the two of you meet right away. When he arrives, he tells you that PharmaGrowth, a company that moved into town eight years ago in conjunction with its much-publicized initial public offering (IPO), has just declared Chapter 11 bankruptcy. Now, 7,500 people are out of work. Your agent has been in meetings all week with his colleagues, and together they estimate that local real estate prices have taken a hit of about 10 percent across the board. Your agent tells you that you must decide the price at which you want to list your home, based on this new information. You tell him that you will think it over and get back to him shortly.

Question: Assume your house is at the mean in terms of quality and salability. What is your likeliest course of action?

1. You decide to keep your home on the market for \$900,000.
2. You decide to lower your price by 5 percent, and ask \$855,000.
3. You decide to lower your price by 10 percent, and ask \$810,000.
4. You decide to lower your price to \$800,000 because you want to be sure that you will get a bid on the house.

Test Results Analysis

A tendency toward either of the first two responses probably indicates susceptibility of the subject to anchoring and adjustment bias. Remember that real estate prices here have declined 10 percent. If the subject wants to sell his or her home, he or she clearly must lower the price by 10 percent. Resistance to an adequate adjustment in price can stem, however, from being anchored to the \$900,000 figure. Anchoring bias impairs the subject's ability to incorporate updated information. This behavior can have significant impact in the investment arena and should be counseled extensively.

ADVICE

Before delving into specific strategies for dealing with anchoring and adjustment, it's important and, perhaps, uplifting to note that you can actually